

17. FUNCTIONS OF TORT LAW, GROUNDS FOR LIABILITY

INTRODUCTION TO THE LEGAL SYSTEM – MODULE I

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WHAT IS TORT LAW?

The area covered by tort law covers situations where a victim suffers a loss – relevant in economic terms – and wants someone else to compensate for that loss

- In essence, tort law consists of remedies granted to the injured persons by those who have caused the harm
- In basic private law terms, “torts” are considered among the sources of legal obligations (see, for example, Art. 1173 of the Italian Civil Code: where they are numbered together with contracts and any other act or fact provided for by law)
- The fundamental content of the relationship between the “tortfeasor” (wrongdoer) and the “injured party” (victim) is the duty to provide relief for the harm suffered by the latter (by paying a pecuniary sum or by materially restoring the *status quo*)

WHAT IS TORT LAW?

Common pattern:

- Before the damage actually occurs, the parties are not linked by any formal legal relationship (e.g. of a contractual nature)
- Tort liability is commonly referred to as **non-contractual liability**, which distinguishes it from liability arising from non-performance (breach) of previously defined contractual duties/obligations
- An act by one person linked to a harm suffered by another person

WHAT IS TORT LAW?

4 main questions

1. Why shift the costs of harm from one individual to another?

The function(s) of tort law

2. Under what conditions?

The elements of liability in tort

3. What kind of 'harm' can be compensated?

The scope of tort law

4. How to get compensation?

Remedies



THE FUNCTIONS OF TORT LAW

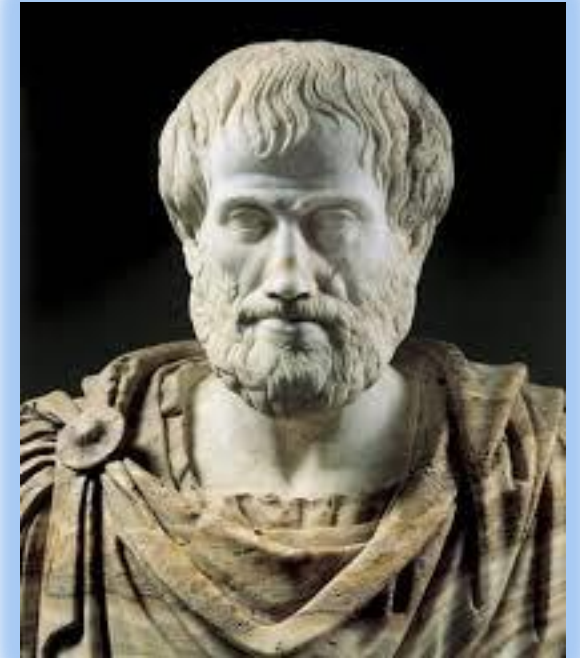
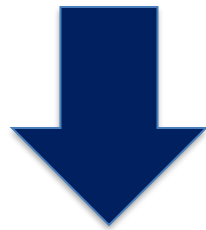
The starting point of any tort system is that the victims themselves bear the loss, unless there is a good reason to allocate these costs to another natural or legal person: What is the rationale for departing from this default rule?

Traditionally, three main functions:

- Compensation (distributive justice)
- Sanction / reaction of public authorities (retributive justice)
- Deterrence / prevention of future damages (efficiency)

THE FUNCTIONS OF TORT LAW

‘**Distributive justice**’ requires that the allocation of goods among people is organized and secured in accordance with the relative merits of the parties



Aristotle

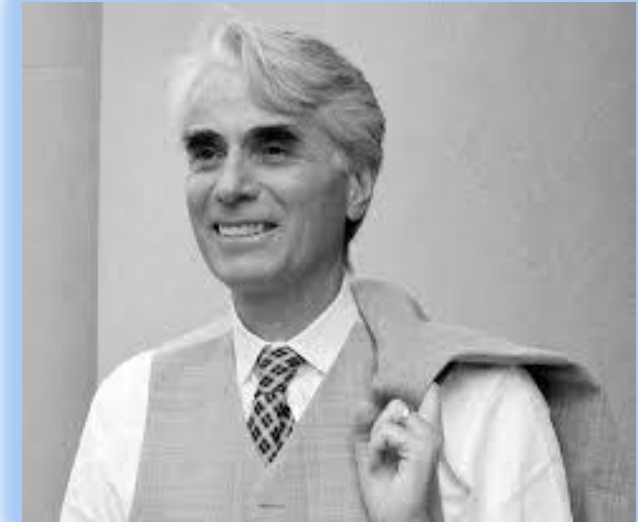
It would be unjust not to ensure the restoration of an original allocation of wealth in favor of a party who has been deprived of resources after the damage has occurred (**ex post approach**)

THE FUNCTIONS OF TORT LAW

‘Retributive justice’ requires that those who commit wrongful acts should be punished proportionally, even if no other good would result from punishing them. The concept was developed in relation to serious crimes, but it can also be applied to civil wrongs



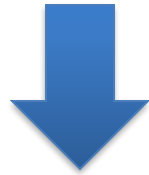
The obligation to make good the damage caused is the proportionate reaction of the legal system to the tort committed by the tortfeasor (**ex post approach**)



R. Nozick *Philosophical Explanations*, 1981

THE FUNCTIONS OF TORT LAW

‘Deterrence’: it is possible to think of legal rules as instruments to guide the behavior of individuals. By imposing liability, tort law seeks to influence the conduct of rational agents (both potential tortfeasors and victims)



It is efficient for the overall system to prevent the occurrence of accidents (and associated damages) by imposing the expected cost of damage on potential tortfeasors (**ex ante approach**)



G. Calabresi,
The Costs of Accidents
1970

THE FUNCTIONS OF TORT LAW

The debate on the rationale of tort law is not merely theoretical, but it is intimately linked to the fundamental regulatory choices that each legal system implements in order to concretely define the scope and conditions for the assessment of liability and related duties

E.g. Subjective elements of tort liability

Retributive justice: if the goal of tort law is to punish the tortfeasor, a basic principle of the system should be the requirement of fault (*nullum crimen, nulla poena sine culpa*)

Distributive justice/ deterrence: if the goal of tort law is to compensate the victim or to create incentives to avoid accidents, then liability may operate despite the absence of any subjective element of intent or negligence underpinning the injurer's conduct

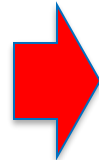
GROUNDS FOR LIABILITY

Fault



cases in which a tortfeasor has acted wrongfully and must compensate for the damage that resulted from the wrongful behavior (liability for one's own fault)

Vicarious liability



cases in which someone is liable for the damage that was wrongfully caused by another tortfeasor (liability for a tortfeasor's fault)

Strict liability



cases in which a tortfeasor is liable for the damage caused by an animal or by an object for which the tortfeasor is responsible (strict liability)

CONDITIONS – FAULT

General rule: Fault based system of torts

Fault

- A wrongful act
- For which the agent can be blamed



The parameter of fault has been considered for many centuries an essential condition for liability in tort (the opinion of the famous jurist von Jhering is often quoted: “*Nicht der Schaden sondern die Schuld verpflichtet zum Schadenersatz*” – Not the damage but the fault obliges to compensate)

SUBJECTIVE ELEMENTS – FAULT

Intentional behavior

- the harmful event which results from the act or omission is foreseen and **desired** by the agent as a consequence of his own act or omission

Negligence

- the event, although foreseeable, is not desired by the agent and occurs as a result of carelessness, imprudence, lack of skill or failure to comply with laws, regulations, orders or regulations

What are the criteria relevant for assessing fault?

Breach of a duty of care (**common law tradition**: case made law)

Statutory interpretation (**civil law tradition**)



COMMON LAW BREACH OF A DUTY OF CARE



United States v Carroll Towing [1947]

The case arose from the sinking of the barge Anna C in New York Harbour on January 4, 1944. Prior to the accident, the Anna C, along with several other barges, was moored at Pier 52 on the North River. On the day of the accident, **the tug Carroll was sent to remove a barge** from the Public Pier.

In the process of removing the barge, the line between the barges at Pier 52 and the barges at the Public Pier was removed. After the line was removed, the barges at Pier 52 broke free. This resulted in the sinking of the Anna C. The United States, the Anna C's lessee, sued Carroll Towing Co., the Carroll's owner, for damages

COMMON LAW BREACH OF A DUTY OF CARE

United States v Carroll Towing [1947]



Judge Learned Hand formula:

“Since there are occasions when every vessel will break from her moorings, and since, if she does, she becomes a menace to those about her; the owner’s duty, as in other similar situations, to provide against resulting injuries is a function of three variables: (1) The probability that she will break away; (2) the gravity of the resulting injury, if she does; (3) the burden of adequate precautions”

- If $(\text{Burden} < \text{Cost of Injury} \times \text{Probability of occurrence})$, then the defendant has not met the required standard of care
- If $(\text{Burden} \geq \text{Cost of injury} \times \text{Probability of occurrence})$, then the defendant may have met the standard of care

CIVIL LAW – STATUTORY INTERPRETATION

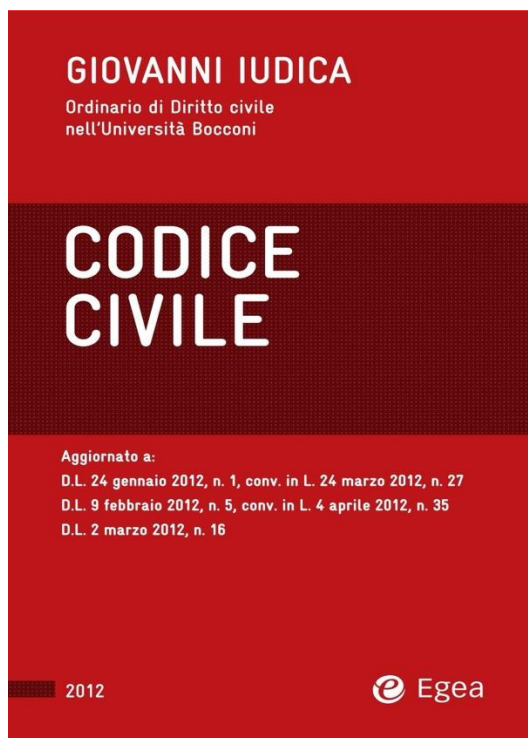
The civil law approach to torts differs from the common law approach in that the basic rules of tort liability are set out in statute and that these rules appear to be relatively uniform

Liability for one's own fault: civil law approach

- there must be an act or an omission which unlawfully violates a legally protected interest
- the unlawful act or omission must have caused damage of a kind that qualifies for compensation

CIVIL LAW – STATUTORY INTERPRETATION

Few provisions in the Italian Civil Code on tort liability. Relevant role of **case law interpretation**



Art. 2043 c.c.

Any wilful or negligent conduct that causes an unjust damage to another obliges he who has caused the damage to compensate it

VICARIOUS LIABILITY

Cases where someone is liable for damage wrongfully caused by a different tortfeasor

Basic elements:

- a) Relationship between the tortfeasor and the vicariously liable person**
- b) Connection between that relationship and the tort committed**

E.g.

- Liability of employers
- Liability of parents
- Liability of schoolteachers
- Liability of subjects who control activities of mental handicapped persons

VICARIOUS LIABILITY – CIVIL LAW



Section 832 BGB

Liability of a person with a duty of supervision

(1) A person who is obliged by operation of law to **supervise a person who requires supervision because he is a minor or because of his mental or physical condition** is liable to make compensation for the damage that this person unlawfully causes to a third party. **Liability in damages does not apply if he fulfils the requirements of his duty to supervise or if the damage would likewise have been caused in the case of proper conduct of supervision.**

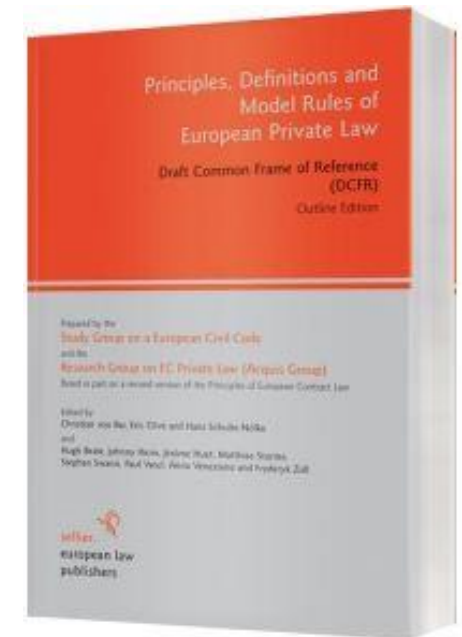
(2) The same responsibility applies to any person who assumes the task of supervision by contract.

VICARIOUS LIABILITY - DCFR

VI. – 3:201: Accountability for damage caused by employees and representatives

(1) A person who employs or similarly engages another is accountable for the causation of legally relevant damage suffered by a third person when the person employed or engaged:

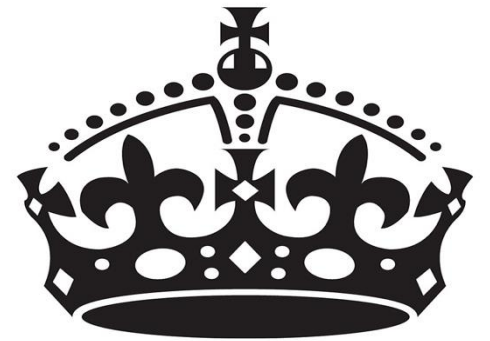
- (a) caused the damage **in the course of the employment or engagement**; and
- (b) caused the damage intentionally or negligently, or is otherwise accountable for the causation of the damage.



VICARIOUS LIABILITY – COMMON LAW

*“In principle, liability in tort depends on proof of personal breach of duty. To that principle there is at common law only one true exception, namely vicarious liability. **Where a defendant is vicariously liable for the tort of another, he commits no tort himself and may not even owe the relevant duty, but is held liable as a matter of public policy for the tort of the other**”*

(Lord Sumption, Woodland v Swimming Teachers Associations [2013] UKSC 66)



- The liability of employers for their employees is the main type of vicarious liability in English common law

DRIVER OF PETROL TANKER

(Century Insurance Co. Ltd v. Northern Ireland Road Transport Board [1942] AC 509)

Davison was driving a petrol tanker for his transport company. While pumping petrol from his truck into the underground tank of a petrol station, he **lit a cigarette and threw the match** on the ground

The match ignited some material left on the ground. The fire caught up with the tanker and the resulting explosion caused significant damage to property



Has Davison acted in course of his employment in lighting his cigarette?

DRIVER OF PETROL TANKER

(Century Insurance Co. Ltd v. Northern Ireland Road Transport Board [1942] AC 509)

The act was committed in the course of the employment. The conduct must be considered **in the light of the surrounding circumstances** and must not be taken in isolation.

“The duty of the workman to his employer is so to conduct himself in doing his work as not negligently to cause damage either to the employer himself or his property or to third persons or their property, and thus to impose the same liability on the employer as if he had been doing the work himself and committed the negligent act” (Lord Wright)



STRICT LIABILITY

Sometimes the victim suffers harm without anyone deserving blame for it. Normally, that victim has to bear the damage personally, but sometimes there are reasons to shift the damage from the victim who suffered it in the first place to someone else

Strict liability

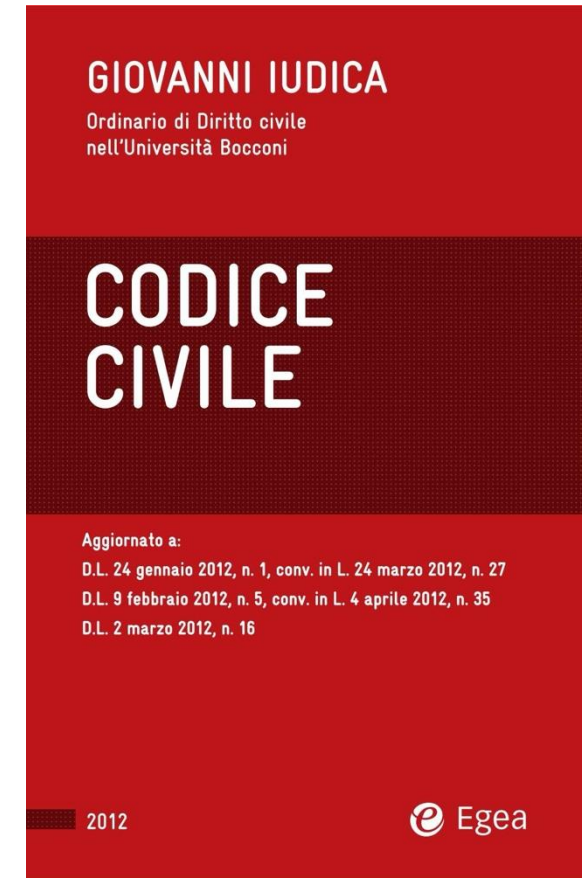
Movement towards Strict liability

- Rise of accidents in the course of industrialization
- Fairness
- Possibility to recover damages (*Best insurer*)
- Prevention of damages
- Economic efficiency (Internalization of Externalities)

STRICT LIABILITY – CIVIL LAW

The Italian Civil Code provides for special rules in certain cases, introducing forms of tort based on the principle of risk and strict liability, most notably:

- Article 2050 c.c. Liability for the **exercise of dangerous activities**
- Article 2052 c.c. Liability for damage caused by **animals**
- Article 2054 c.c. Liability arising from **circulation of vehicles**



STRICT LIABILITY – COMMON LAW

Common Law (case law)

- In UK common law, strict liability cases are rare



Statutory Law

- In UK statutory law, cases of strict liability are relatively common

E.g.

- Nuclear Installations Act 1965
- Animals Act 1971
- Product Liability (in Consumer Protection Act 1987)